March 15, 2025

Applied Digital Corporation
3811 Turtle Creek Blvd.
Suite 2100
Dallas, TX 75219
United States

Subject: RFI on the Development of an Artificial Intelligence Action Plan

To whom it may concern,

On behalf of Applied Digital, we welcome the opportunity to respond to the Office of Science and Technology Policy (OSTP) and National Science Foundation's requests for input on the Development of an Artificial Intelligence (AI) Action Plan ("Plan"). We commend actions that the current administration has done thus far to increase energy supply and support high-tech industries, and we believe that with these further recommendations, the U.S. can maintain and amplify its status as the world leader in AI and innovation.

Overview of Applied Digital

Applied Digital (Nasdaq: APLD) designs, develops, and operates next-generation data centers across North America to provide digital infrastructure solutions to the rapidly growing high-performance computing (HPC) industry. Applied Digital is a U.S.-based provider of next-generation digital infrastructure, redefining how digital leaders scale HPC. With dedicated and experienced leadership in the fields of artificial intelligence/machine learning (AI/ML), power procurement, engineering, real estate, and construction, Applied Digital is positioned to provide purpose-built, cutting-edge infrastructure for HPC plus AI-based applications. The Company is at the forefront of powering tomorrow's technology, today, with operations spanning across North America. The Company currently owns and operate data centers with a combined capacity of approximately 280 megawatts, a testament to our role as a key player in the digital infrastructure landscape and has approvals for hundreds of megawatts more of capacity, much of which is under construction.

Our infrastructure differs from traditional data centers. These specialized facilities are designed specifically to accommodate the unique requirements of AI workloads. Unlike traditional data centers, which are geared toward general computing tasks and data storage, AI data centers are optimized for the high computational demands and data throughput needs of AI and ML algorithms. Reducing redundancy and building on a mix of power sources is a major benefit for AI clusters, which are engineered for checkpointing and resilience.

Energy Requirements

Energy consumption is a significant consideration when building our data centers. As a result, site selection and working with local utilities and providers are key to ensuring energy needs can be met while maintaining affordable rates within the communities in which we operate. By way of example, Goldman Sachs Research estimates that data center power demand will grow 160% by 2030 and account for nearly 20% of energy use.[1] A single ChatGPT query is estimated to require 2.9 watt-hours of electricity, compared with 0.3 watt-hours for a Google search, according to the International Energy Agency. Data center power consumption from AI will be on the order of 260 terawatt-hours per year in 2026.[2] US utilities will need to invest around $50 billion in new generation capacity just to support data centers alone. Working to build the right energy mix that meets the current and future demand must be considered when developing policies around the AI industry.

To manage the inherent energy requirements, we leverage cold air and the northern climate for the lowest power usage effectiveness and water usage effectiveness to help decrease customer costs and increase energy available. By coupling locations and climate, we offer a cost-effective choice for data center operations. As a result, Applied Digital has saved North Dakota ratepayers approximately $5.4 million in 2023 and current estimates by MDU show that ratepayers in North Dakota will save an additional $14 million as a direct result of our operations in 2024.[3] Policies that support the building out of AI infrastructure should be measured against such metrics.

Supply Chain Stability

Our hyper-scale facilities require robust and predictable supply chains, particularly for high-tech components such as central processing units (CPUs), graphics processing units (GPUs), electrical transformers, etc. As a company rooted in supporting American AI leadership, we support the increase of domestic manufacturing to provide for the facility, energy, and technology needs of AI data centers.

---

[1] Goldman Sachs (2024). "AI Is Poised to Drive 160% Increase in Data Center Power Demand." AI is poised to drive 160% increase in data center power demand | Goldman Sachs.
[2] International Energy Agency (2024). "Electricity 2024 Analysis and Forecast to 2026."
[3] North Dakota State University (2024). "Applied Digital Aligns Climate and Energy to Transform Data Centers."

Additionally, the use of AI can revolutionize the planning, production, and optimization of supply chains by processing vast amounts of data to predict trends and perform complex tasks in real time. Modern supply chains are expensive, including broad data sets that must be processed. AI systems at a global scale are complex and require supply chain planners to constantly manage how tools are performing and fine-tune them as needed.

Human interaction should be an ever-present solution and the key interface in managing and handling supply chain risks. AI is a tool; it cannot build relationships. There is a misconception that AI can replace human intelligence, but in fact, AI should *augment* it. Furthermore, if technology fails, humans with expertise must keep the supply chain running. This requires a ready workforce.

Workforce Development

The addition of one of our data centers provides economic stimulus for smaller populated and rural communities. Furthermore, we take the time to hire locally and provide employer-led training. On a single 100 megawatt project, during peak construction phases, we create over 400 jobs with wages above the median pay where we are currently under development. Once operational, a single 100 megawatt project is projected to employ roughly 100 individuals, also with wages above the local median pay. Our typical campus is expected to be 300 to 500 megawatts, and thus the construction and permanent roles are much larger. Given the impact, we work with communities on temporary and permanent housing needs as well as other economic development needs.

When developing a site, a project will likely be subject to the prevailing wage and apprenticeship requirements. To ensure a ready and available workforce, it is necessary to ensure full clarity on Davis Bacon Act (DBA) enforcement and the existing wage determination process for construction. It is important to ensure there are fair rates for compensation without straying from the established and trusted approach of DBA, as changes in the approach can risk delaying projects. To do so, the Department of Labor's Wage and Hours Division (WHD) should use data from the Bureau of Labor Statistics to accurately assess the prevailing wages for occupations. Further, the surveys from WHD should be localized at the individual county or regional multi-county level to calculate wages and to mitigate against flawed determinations for critical jobs during the construction process.

Paramount among these is the qualification of locally administered apprenticeship programs. Industry forecasts suggest that the existing talent pipeline is unequipped to satisfy surging industry demand both in the near and long term. Local and private-sector apprenticeship programs are prepared to help the sector overcome this challenge

Last, all jobs directly related to AI need not require a four-year college degree. In fact, it is appropriate to consider vocational training for technology careers to ensure that the demand for qualified professionals is met. Our data centers require on-site electricians, plumbers, and countless other trades to support our daily operations and site development. Technical training should be supported where possible through internships, apprenticeships, and other training options beginning at the secondary education level to allow individuals to gain skills at the earliest and most appropriate learning opportunity.

Strategic Siting

Noted previously, we conduct our site selection process based on a number of factors, including the right mix of policy and economic indicators to create the best fit for our projects within a local community. Applied Digital values its communities and aspires to be a value-added business to the local, mostly rural, economies. Our commitment to our communities begins in parallel with our site selection process. We visit every location, meet residents, and identify community needs prior to starting projects. Our team hosts town halls to speak to residents and educate them, as well as answer any questions and address concerns.

The process for site selection can be complex and can take years of community engagement to solidify partnerships that work within a local area. During this process, significant time and money are dedicated to creating the durable framework for success within a reasonable financial investment window. As Congress and the administration work to streamline siting and permitting processes, it is important to underscore the need for shortening the length of time for judicial review and what may be included in a judicial proceeding based on National Environmental Policy Act (NEPA) requirements. For example, only when an issue has been included in an environmental impact statement should it be fair for consideration. Additionally, allowing states appropriate latitude within NEPA parameters will help to provide certainty around all phases of construction and up to project completion. Timely review is critical for business to provide the time sensitive progress that data center tenants require. If the federal government cannot sustain those reasonable timelines, full delegation to States to handle the process in a reasonable timeframe.

Data Privacy

Ensuring the operational security of our clients' data center equipment is a paramount priority. We provide comprehensive protection to safeguard the integrity and confidentiality of all data center assets. To support our safety measures, federal policy can help to build industry standards.

Congress and the administration should make every effort to ensure the safety of data and to maintain requirements for facilities, particularly those that house and process strategic governmental information. Applied Digital supports legislative and regulatory efforts that safeguard data while providing for AI and ML. Federal agencies should take care to use privacy-enhancing technologies (PETs) to protect personal information, given AI can excerpt, link, deduce, and act on sensitive information about individuals, their identity, locations, and preferences.[4] To do so, data minimization should be incorporated into products by design, which includes PETs. Industry is well poised to assist in creating these structures that support the use of AI as a tool for creating efficiencies. Ultimately, commercial privacy standards must balance the need to support cross-border data flows for digital commerce, communications, and innovation.

We thank you for your attention to this important issue as AI continues to shape the future of how we manage and utilize information. The US has the opportunity to be a policy leader in AI while creating an environment where information is used in a safe and efficient manner to benefit industries large and small.

Applied Digital Statement

This document is approved for public dissemination. The document contains no business-proprietary or confidential information. Document contents may be reused by the government in developing the AI Action Plan and associated documents without attribution.

Sincerely,

/s/

Nick Phillips
EVP External Affairs

---

[4] Fondrie-Teitler, S. (February 2024). "Keeping Your Privacy Enhancing Technology (PET) Promises." Keeping Your Privacy Enhancing Technology (PET) Promises | Federal Trade Commission.